



The Talent Partner Unlocking Tomorrow's Workforces

Transaction Monitoring, Investigations & SAR Decisioning

Week 2: Day 6 — Transaction Monitoring I: Cash, CTR & Structuring

Trainer: Mahesh Gali, CAMS, CFCS, CALM





Transaction Monitoring, Investigations & SAR Decisioning

Week 2 · Day 6 – Transaction Monitoring I: Cash, CTR & Structuring

Trainer: **Mahesh Gali, CAMS, CFCS, CALM** |

From reading rules to thinking like an analyst.

Today's Agenda

A Transaction Monitoring Fundamentals

B Cash, CTR & Same-Day Aggregation

C Structuring: Concepts & Patterns

D Large Cash & ATM Scenarios

E Alert Triage with 5W & 1H

Goal: Move from “what the rule says” to “what the evidence shows”.



SECTION A — Transaction Monitoring Fundamentals

SECTION A

Transaction Monitoring Fundamentals

Meaning & purpose

The monitoring lifecycle

Scenarios & other alert sources

Alert vs Case vs SAR



Transaction Monitoring: Meaning & Purpose

Transaction Monitoring = reviewing customer activity to identify unusual patterns, behaviours and potential financial crime risk.

Purpose

1 Detect activity inconsistent with expected behaviour

2 Identify AML / CFT and financial crime red flags

3 Spot unusual patterns, amounts, frequency, counterparties

4 Generate alerts for review and investigation

5 Support suspicious activity reporting

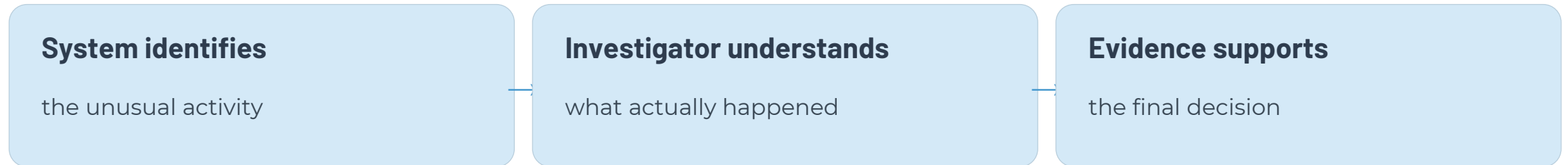
6 Help meet BSA / AML monitoring obligations

Key message: Monitoring identifies activity to investigate — it does not prove crime.

The Transaction Monitoring Lifecycle



Ongoing Monitoring — activity keeps flowing and continues to be reviewed



Important: An alert is not suspicious activity — it is a trigger for review.

The test: Does the institution know, suspect, or have reason to suspect?

Inside Each Stage

01 Transaction

Cash, ACH, wire, ATM, card, P2P

02 Scenario

Rules and models test the activity

03 Alert

Criteria met → needs review

04 Triage

Explainable, or investigate deeper?

05 Investigation

KYC, history, counterparties, source & use of funds

06 Decision

Suspicious, or reasonably explained?

07 SAR / No SAR

File, or close per bank procedure

08 Ongoing Monitoring

Review the subsequent activity

Remember: System identifies → investigator understands → evidence decides.

Typical Monitoring Scenarios – Automated Alerts

Structuring

Transactions split below thresholds

Large Cash Transactions

Cash above a defined threshold

Unusually Large Deposits

Far above the customer's peak

High Turnover / Velocity

Rapid, high-volume movement

Excessive Channel Usage

Heavy cash, ATM, wire or P2P use

Round-Trip Transactions

Funds return with no purpose

One-to-Many (1:N)

One sender → many unrelated parties

Many-to-One (N:1)

Many senders → one account

Deviation from Profile

Activity unlike the customer

Evolution of monitoring

Rules & Thresholds



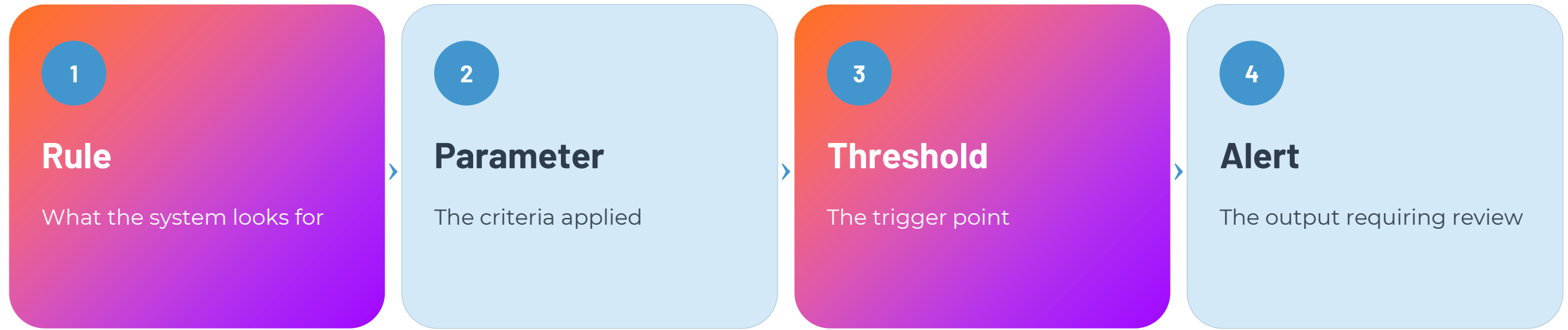
Behavioural & Peer



AI & Machine Learning

Key message: Scenario match → alert → investigation. Never an automatic conclusion.

Rule, Parameter, Threshold & Alert



Example: Rule = aggregated cash deposits · Parameter = 5-day look-back, personal accounts · Threshold = \$8,000 · Alert = analyst work item

Key message: Crossing a threshold starts a review. It does not end one.

Other Sources of AML Investigations – Manual Alerts

Internal Referrals

Branch, fraud, digital, compliance

Hotlines & Whistleblowers

Internal complaints and reports

External Referrals

Customers, public, business partners

Requests for Information

Counterparty and correspondent RFIs

Information Sharing

U.S. §314(a) and §314(b)

Negative News / Adverse Media

Screening hits and leads

Regulatory Findings

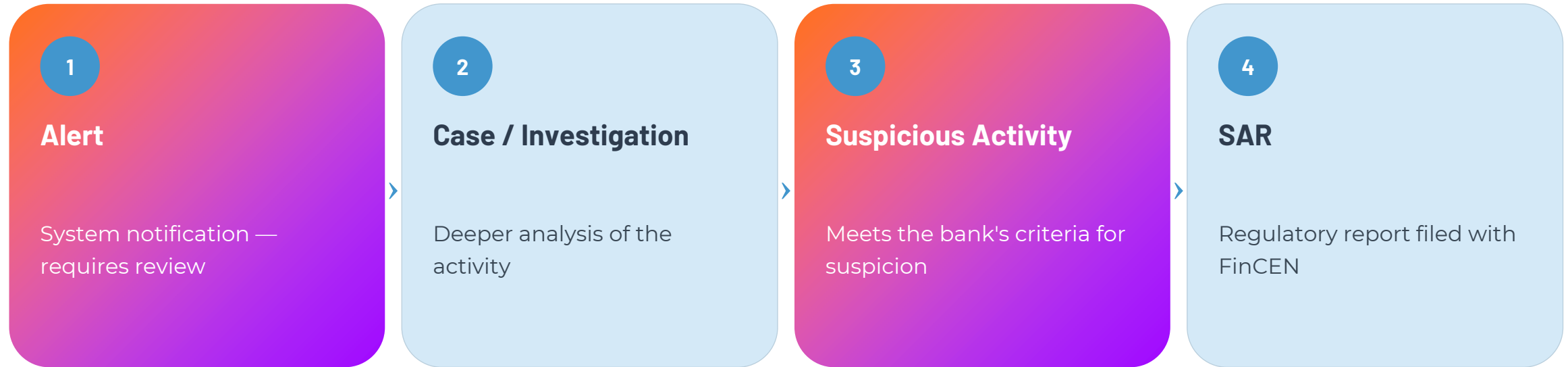
Examination findings and recommendations

Law Enforcement Requests

Subpoenas, warrants, court orders

⚠ **Confidentiality:** Handle sensitive investigations under confidentiality procedures — avoid tipping off.

Alert ≠ Case ≠ Suspicious Activity ≠ SAR



Threshold → Alert → Review → Investigation → Decision → SAR / No SAR

Not: Threshold → SAR.

Monitoring Threshold ≠ Regulatory Threshold

Monitoring Threshold

Set by the bank · tuneable · identifies activity for review

Regulatory Threshold

Set by law or regulation · triggers a specific requirement

Worked example

\$8,000

Internal cash-monitoring scenario

\$10,000

CTR threshold set in regulation

\$8,500 deposit

Alert and review — no CTR

Key message: An internal threshold starts a review. It does not create a filing obligation.

Remember: Aggregation and other CTR rules still apply to the \$10,000 test.



SECTION B — Cash, CTR & Same-Day Aggregation



SECTION B

Cash, CTR & Same-Day Aggregation

Why banks monitor cash

The CTR: who, when, how fast

Same-day aggregation example

CTR vs SAR

Why Do We Monitor Cash So Closely?

1 No inherent audit trail

2 The classic placement stage

3 Anonymous and transferable

4 Most exposed to structuring

5 Easy to test against a profile

6 Heavy regulatory focus

Investigator focus: Source → profile → frequency → history → destination of funds.

Key message: Cash is not suspicious. Unexplained cash that does not fit the customer is.

The Currency Transaction Report (CTR)

Filed for a currency transaction of more than **\$10,000** by, through or to the bank.

1

Who files

Banks, credit unions, MSBs, casinos, broker-dealers

2

When triggered

Single or aggregated cash over \$10,000 in one business day

3

Deadline

E-filed with FinCEN within 15 calendar days

A CTR is not an accusation

Same-day cash must be aggregated

A CTR and a SAR can both apply

Key message: CTR = threshold-based reporting. SAR = suspicion-based reporting.

Watch for: Trainees treating a CTR filing as a statement of suspicion.

Same-Day Cash Aggregation – Worked Example

Same customer. Same business day. Two branches.

Branch A

\$6,000

Cash deposit · 10:40 a.m.

Branch B

\$5,000

Cash deposit · 3:15 p.m.

Same-day total

\$11,000

Over \$10,000 → CTR required

The branch is irrelevant

Aggregate by customer and business day

Neither deposit alone reports

Only the aggregate crosses \$10,000

A CTR is still not a SAR

Intent is a separate question

Ask the trainees: Three branches, \$4,000 each — does your answer change? Why?

Key message: Aggregate first, then ask why.

CTR vs SAR

	CTR	SAR
Trigger	Cash over \$10,000	Knowledge, suspicion or reason to suspect
Basis	Objective — count the cash	Judgement supported by evidence
Threshold	Fixed in regulation	Applicable SAR requirements
Timing	15 calendar days	Applicable SAR filing deadline
Confidentiality	Not confidential in the same way	Strictly confidential — no disclosure
Signals	A large cash transaction occurred	The bank considers the activity suspicious

Key message: One deposit can require a CTR, a SAR, both, or neither.





SECTION C — Structuring: Key Concepts & Patterns

SECTION C

Structuring: Key Concepts & Patterns

What structuring is (and is not)

Basic, micro and smurfing

The October 2025 clarification

Common cash patterns



What Is Structuring?

Breaking up or arranging transactions **for the purpose of evading** BSA reporting or recordkeeping requirements.

Basic Structuring

Repeated amounts kept below the threshold

$\$9,500 \rightarrow \$9,800 \rightarrow \$9,600$

Micro-Structuring

Many much smaller transactions

$\$20,000 \rightarrow 40 \times \500

Smurfing

Multiple people transacting for one party

$4 \text{ people} \times \$2,400 \text{ each}$

The words that matter: “for the purpose of evading” — structuring is defined by intent.

Investigator focus: Pattern + profile + history + purpose + facts and circumstances.

The October 2025 Regulatory Clarification

⚠ Important

Transactions at or near \$10,000 do NOT automatically require a SAR.

Below \$10,000

≠ structuring

Near \$10,000

≠ automatic SAR

Intent & context

= what actually decides

The test: know, suspect, or have reason to suspect that the activity was designed to evade a reporting requirement

FinCEN & the federal banking agencies, October 2025: proximity to the CTR threshold alone is insufficient.

Key message: Intent and context carry the conclusion — not the number.

Common Cash Structuring Patterns

Multi-Day

\$9,000 Mon → \$8,500 Tue → \$9,500 Thu

Multi-Branch

\$6,000 Branch A → \$5,000 Branch B → \$4,500 Branch C

Multiple Individuals / Smurfing

Three individuals depositing into one account

Third-Party Cash Deposits

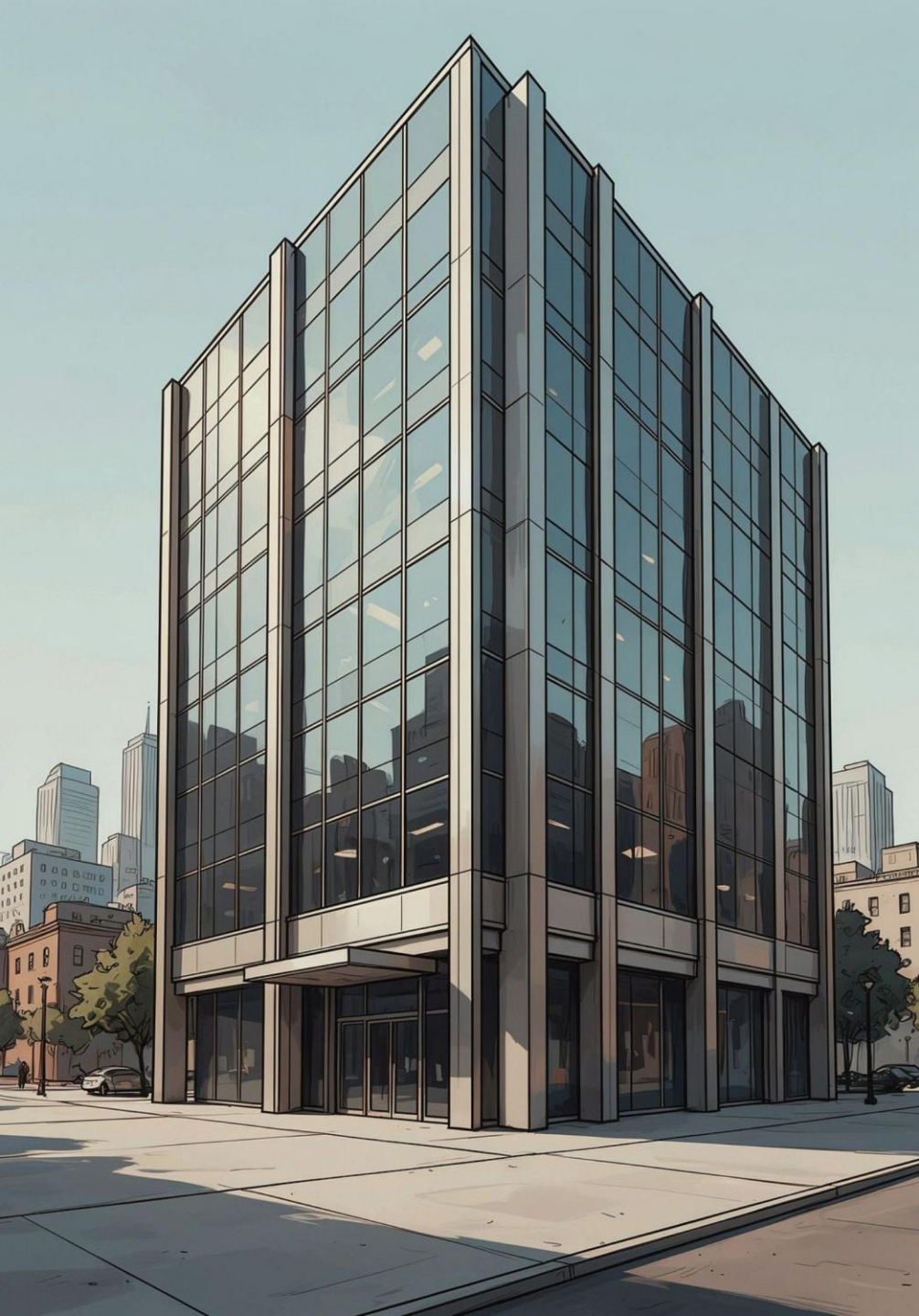
Unrelated individuals funding one personal account

Investigator focus: Who? · How much? · When and where? · Relationship? · Source and purpose? · Pattern?

Red flags — not proof: Transactions below a threshold do not establish structuring on their own.



SECTION D — Large Cash & ATM Monitoring Scenarios



SECTION D

Large Cash & ATM Monitoring Scenarios

Cash activity vs customer profile

Rapid cash-in / cash-out

Cash-to-wire and cash-to-P2P

What the investigator asks first

Large Cash & ATM Scenarios in Practice

Large Cash Deposit

Salaried employee deposits \$18,000 cash

Cash Activity vs Profile

Electronically paid IT professional deposits large cash

Rapid Cash-In / Cash-Out

\$15,000 in → \$14,500 out the next day

Cash-to-Wire Pattern

\$20,000 cash → \$19,000 overseas wire

Cash-to-P2P Pattern

\$12,000 cash → Zelle to 6 individuals

Source → profile → frequency → history → destination → counterparties → purpose

Key message: Large cash is not automatically suspicious — ask first whether it fits the customer.



SECTION E — Alert Triage & Investigation: 5W & 1H

SECTION E

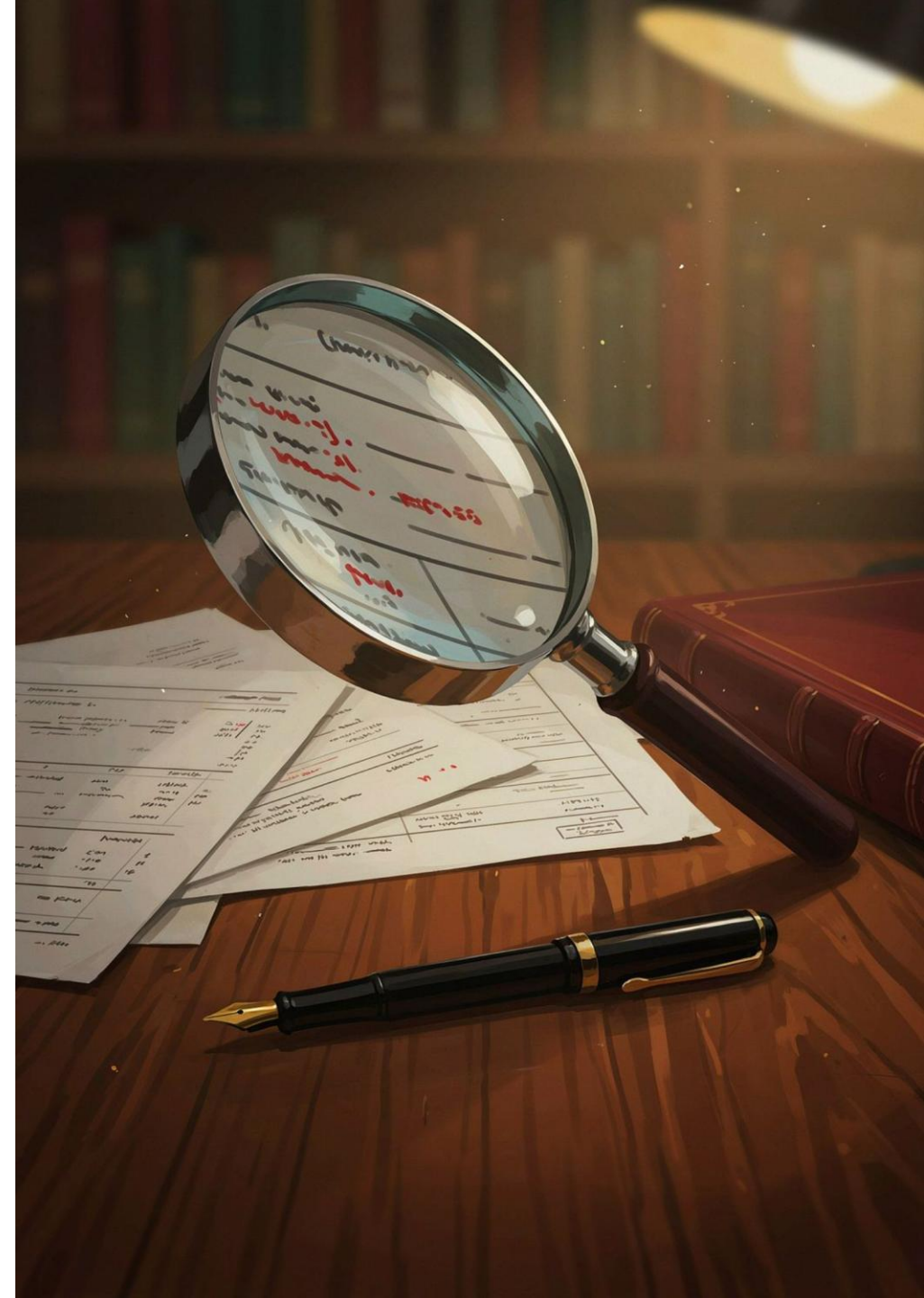
Alert Triage & Investigation: 5W & 1H

The six questions

Initial triage checklist

Building a cash timeline

Close or escalate?



The 5W & 1H Approach to Alert Triage

1 WHO?

Customer · counterparties · relationship

2 WHAT?

Trigger · transactions · what is different

3 WHEN?

Timing · one-off or pattern · speed

4 WHERE?

Origin · destination · branch, ATM, country

5 WHY?

Stated purpose · economic or lawful sense

6 HOW?

Cash, ATM, ACH, wire, P2P · accounts · third parties

Key message: Ask all six before reaching a conclusion.

Trigger → Profile → Expected activity → Actual activity → Explanation → Escalate?

Putting It Into Practice

1

Triage checklist

- Trigger
- Customer profile
- Expected activity
- Actual activity
- Reasonable explanation?

2

Cash timeline

- Cash in
- Movement of funds
- Counterparties
- Cash / wire / P2P out
- Ending balance

3

Decision

- Close or escalate?
- SAR consideration?
- Supporting facts?
- Evidence documented?
- Reviewer challenge?

Decision test: State in one sentence what you suspect — and which facts support it.

If you cannot: Keep investigating.

Day 6 – Key Takeaways

01 An alert is a question, not an answer

02 Alert ≠ Case ≠ Suspicious Activity ≠ SAR

03 Internal thresholds are not the law

04 CTR counts. SAR judges.

05 Structuring is about intent, not amount

06 Always run 5W & 1H before deciding

Next: Day 7 — Transaction Monitoring II: wires, P2P, money mules and cross-channel patterns.